26CMCV00550 26CMCV00550

County: los-angeles

Division: Civil Law and Motion

Department: A

Hearing date: 2026-08-31

Motion: DEFENDANT HYUNDAI MOTOR AMERICA’S MOTION TO COMPEL ARBITRATION

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Case Number: 26CMCV00550 Hearing Date: August 31, 2026 Dept: A

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL DISTRICT

HEATHER C. POE, et al.,

Plaintiffs,

vs.

HYUNDAI
MOTOR AMERICA, et al.,

Defendants.

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CASE NO: 26CMCV00550

[TENTATIVE]
ORDER RE: DEFENDANT
HYUNDAI MOTOR AMERICA’S MOTION TO COMPEL ARBITRATION

Dept.
A

DATE:
August 31, 2026

TIME:
8:30 A.M.

COMPLAINT
FILED: 3/4/26

TRIAL:
None set.

MOVING PARTY: Defendant
Hyundai Motor America

RESPONDING PARTY: Plaintiffs
Heather C. Poe and Garrison Wells

1. Background

Plaintiffs Heather C. Poe ("Poe") and Garrison Wells ("Wells") (collectively, "Plaintiffs") allege that on January 24, 2023, they acquired a 20923 Hyundai Palisade, VIN: KM8R44GEXPU558733 (the "Subject Vehicle"). Plaintiffs further alleges that Defendant Hyundai Motor America ("Hyundai") failed to repair the Subject Vehicle within a reasonable number of attempts after it manifested defects and nonconformities during the warranty period.

On March 24, 2026, Plaintiffs filed the operative Complaint against Hyundai and DOES 1 through 10 (collectively, "Defendants"), alleging causes of action for: (1) Violation of the Song-Beverly Consumer Warranty Act – Breach of Express Warranty; (2) Violation of the Song-Beverly Consumer Warranty Act – Breach of Implied Warranty; and (3) Violation of Business and Professions Code Section 17200.

On April 28, 2026, Hyundai filed the instant Motion to Compel Arbitration. On July 14, 2026, Plaintiffs filed an Opposition. On July 16, 2026, Hyundai filed a Reply.

2. Request for Judicial Notice

Hyundai requests judicial notice of the operative Complaint filed on March 24, 2026 in this instant case – Ex. 1.

"A court may judicially notice the '[r]ecords of ... any court of this state'. [Citation]." (Aixtron, Inc. v. Veeco Instruments Inc. (2020) 52 Cal.App.5th 360, 382, disapproved of by Vo v. Technology Credit Union (2025) 108 Cal.App.5th 632 on other grounds.) "We may take judicial notice of the existence of judicial opinions and court documents, along with the truth of the results reached—in documents such as orders, statements of decision, and judgments—but cannot take judicial notice of the truth of hearsay statements in decisions or court files, including pleadings, affidavits, testimony, or statements of fact.” (Id.)

Thus, the court GRANTS Hyundai’s request for judicial notice except as to hearsay matters and facts in dispute per Evidence Code Section 452, subdivision (d).

3. Discussion

a. Prior Demand for Arbitration

Hyundai moves for an order (1) compelling Plaintiffs to arbitrate all of their claims in accordance with the Arbitration Agreement set forth in the Owner’s Handbook & Warranty Information (“Warranty”) and (2) staying this action pending the outcome of arbitration.

A party seeking to compel arbitration under Code of Civil Procedure Section 1281.2 must “plead and prove a prior demand for arbitration under the parties’ arbitration agreement and a refusal to arbitrate under the agreement.” (Mansouri v. Super. Ct. (2010) 181 Cal.App.4th 633, 640; Civ. Proc. Code, § 1281.2.)¿

On April 27, 2026, Hyundai requested Plaintiffs stipulate to arbitration pursuant to the Arbitration Agreement in the Warranty, but Plaintiffs refused to do so. (Ameripour Decl., ¶3.) As such, Hyundai has shown that a prior demand for arbitration was made and refused on the part of Plaintiffs.

b. Existence of a Valid Agreement

The party moving to compel arbitration has the initial burden to (1) affirmatively admit and allege the existence of a written arbitration agreement, and (2) prove the existence of that agreement by a preponderance of the evidence. (Rosenthal v. Great W. Fin. Sec. Corp, 14 Cal. 4th 394, 413.) Once this is met, the burden shifts to the responding party to prove that the agreement is unenforceable by a preponderance of the evidence. (Ibid.)

In establishing the existence of an agreement to arbitrate, it is sufficient for defendant to provide a copy of the arbitration agreement or state the paragraph verbatim. (Baker v. Italian Maple Holdings, LLC, 13 Cal.App.5th 1152, 1160 (2017); Cal. Rules of Court, Rule 3.1330.)

On January 24, 2023, Plaintiffs purchased the Subject Vehicle, which was accompanied by an express written warranty issued by Hyundai. (Compl., ¶¶7, 13-14.) The express written warranty was memorialized in the “Owner’s Handbook & Warranty Information” (the “Warranty”). (Ameripour Decl., ¶4, Ex. 2.) The Warranty contains the following arbitration provision:

“BINDING ARBITRATION FOR CALIFORNIA VEHICLES ONLY

PLEASE READ THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS THIS SECTION DOES NOT PRECLUDE YOU FROM FIRST PURSUING ALTERNATIVE DISPUTE RESOLUTION THROUGH BBB AUTO LINE AS DESCRIBED IN THE “ALTERNATIVE DISPUTE RESOLUTION” PROVISION IN SECTION 3 OF THIS HANDBOOK.

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through JAMS Mediation, Arbitration and ADR Services (JAMS) under its Streamlined Arbitration Rules & Procedures, or the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

…

IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION."

(Ameripour Decl., ¶4, Ex. 2 at pp. 12-14.)

Plaintiffs do not challenge the authenticity of the Warranty, its arbitration provision, or its application to the Subject Vehicle. (Opp. at pp. 3-6.) Instead, Plaintiffs argue that the Warranty is unenforceable and unconscionable as a matter of law. (Id.) Thus, Hyundai has met its initial burden of establishing the existence of an agreement to arbitrate in the Warranty. The burden now shifts to Plaintiff to establish a defense to arbitration by a preponderance of the evidence.

c. Enforceability of the Arbitration Agreement

Plaintiffs argue that the arbitration provision in the Warranty is unenforceable and that it is procedurally and substantively unconscionable.

Here, Hyundai presents no evidence that Plaintiffs were given an opportunity to meaningfully review the Warranty, before or immediately after their purchase of the Subject Vehicle. Furthermore, Plaintiffs did not sign/initial the arbitration provision in the Warranty or sign/initial an acknowledgment of receipt of the Warranty. In fact, the Warranty does not contain a signature line anywhere, including pages where the arbitration provision is expressly stated in the Warranty. (Ameripour Decl., ¶4, Ex. 2 at pp. 12-14.) To the extent that Hyundai asserts that Plaintiffs are equitably estopped from disclaiming the existence of the arbitration agreement because they use the Warranty as a foundational basis for this present action and concede to having accepted the benefits under such Warranty, such argument is unavailing under the legal authority.

Under the doctrine of equitable estoppel, "a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are 'intimately founded in and intertwined' with the underlying contract obligations. [Citations]." (JSM Tuscany, LLC, supra, 93 Cal.App.4th 1237 (emphasis added).) "By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. [Citations]." (Id.) "The rule applies to prevent parties from trifling with their contractual obligations. [Citations]." (Id.) We have already discussed the lack of signature and/or signed acknowledgment of receipt of the Warranty, which includes the arbitration provision at issue. Likewise, the cases cited by Hyundai in support of the equitable estoppel argument are distinguishable from the present action.

First, Sholly v. Annan (9th Cir. 1971) 450 F.2d 74, explicitly concerned Arizona law and did not involve a lemon law action nor discuss an arbitration provision. (See Sholly v. Annan (9th Cir. 1971) 450 F.2d 74, 76 ["Similarly, a party is estopped to contradict a position he advocated in a prior judicial proceeding, Martin v. Wood, 71 Ariz. 457, 229 P.2d 710 (1951), or in prior pleadings, Adams v. Bear, 87 Ariz. 288, 350 P.2d 751 (1960)."].) By contrast, Jensen v. U-Haul Co. of California (2017) 18 Cal.App.5th 295 did involve an arbitration provision and discussed the applicability of equitable estoppel. (Jensen v. U-Haul Co. of California (2017) 18 Cal.App.5th 295, 307.) The court in Jensen found that the plaintiff, who was a nonsignatory to the agreement at issue, was not estopped from refusing to arbitrate because the plaintiff's claims, although they touched matters relating to the arbitration agreement, were not inextricably intertwined with the underlying contractual obligations of the agreement. (Id. at pp. 306-307.)

Here, unlike in Jensen, Plaintiffs' claims are premised on Hyundai's statutory obligations under the Song-Beverly Act, not the contractual obligations of the warranty booklet. Plaintiffs alleged that Hyundai, by failing to conform the Vehicle to the express warranty and by failing to promptly replace the Vehicle or make restitution, violated the Song-Beverly Act, and that Plaintiffs sustained damages as a result of Hyundai's violations of the Song-Beverly Act. (Compl. ¶¶ 14, 18.) The court finds that it is the

Song-Beverly Act, not the express warranty, which provides the enforcement mechanism and the remedies which Plaintiffs seek. Thus, it cannot be said that Plaintiffs' claims are so intertwined with the Warranty Booklet (and arbitration provision) that Plaintiffs are equitably estopped from pursuing them in court, as Plaintiffs do not seek to enforce any contractual term. (See Mattson Technology, Inc. v. Applied Materials, Inc. (2023) 96 Cal.App.5th 1149, 1157–1158, 314 Cal.Rptr.3d 918 [no equitable estoppel where the plaintiff's statutory trade secrets claim existed without regard to the signatory's contractual obligations to the plaintiff].)

Furthermore, warranties generally bind only the seller and do not impose independent obligations on the buyer. (Norcia v. Samsung Telecommunications America, LLC (9th Cir. 2017) 845 F.3d 1279, 1288.) In other words, Plaintiffs were not required to accept Hyundai's warranties to make them binding upon Hyundai. Thus, there was no acceptance of a benefit that could serve as Plaintiffs' assent to the terms of the arbitration provision. (Civ. Code, § 1589.)

The court does acknowledge that the arbitration provision contains an "opt-in/opt-out" option. (Ameripour Decl., ¶4, Ex. 2 at pp. 12-14.) Nevertheless, the arbitration provision itself is not set forth until page 12 out 48. (Ameripour Decl., ¶4, Ex. 2 at pp. 12-14.) As such, the arbitration provision is otherwise buried within multiple, single-space pages of the warranty information. Additionally, the "opt-in/opt-out" option requires the buyer/consumer to take action within thirty (30) days of purchasing the vehicle. (Id. at p. 14.) Due to the lack of evidence that the Warranty was even presented to the Plaintiffs prior to or immediately after the purchase of the Subject Vehicle, it is unlikely that Plaintiffs were aware of the "opt-in/opt-out" option to take advantage of the deadline. Also, vehicle owners normally and reasonably do not review their warranty booklet until an issue with the vehicle arises.

Given the totality of the circumstances, the court finds that Hyundai has failed to establish the existence of an arbitration agreement between the parties. The court will therefore deny Hyundai's motion to compel Plaintiffs' claims to arbitration, without proceeding to an analysis of unconscionability.

4. Conclusion

Based on the foregoing, the court DENIES Defendant Hyundai Motor America’s Motion to Compel Arbitration. Defendant Hyundai Motor America is ordered to give notice.

IT IS SO ORDERED.

DATED: August 31, 2026

Hon. Elizabeth L. Bradley

Judge of the Superior Court